



United States
Attorney's Office
Eastern District of Washington



Veterans Affairs Contractor Agrees to Pay \$4.3 Million to Resolve Claims of Overbilling for Products

Wednesday, June 11, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of Washington

Spokane, Washington – Omnicell, a company based in Delaware, has agreed to pay \$4,366,660 to resolve claims that it fraudulently overbilled the United States Department of Veterans Affairs (VA) for medical device hardware and software, announced Richard R. Barker, the Acting United States Attorney for the Eastern District of Washington.

Between January 2017 and February 2023, Omnicell held a federal contract with the VA to sell and lease products at a set price or negotiated discounted price.

According to the settlement agreement, a False Claims Act (FCA) claim arose from allegations that Omnicell did not always charge the correct prices for products purchased and leased by federal agencies.

When Omnicell became aware of certain pricing issues related to specific individual orders, including when federal government customers raised concerns and questions, Omnicell at times issued credits or otherwise corrected prices charged to federal government customers. However, Omnicell did not always timely correct the known issues in its sales and pricing system in a systemic way, nor did Omnicell undertake an analysis to determine whether other federal government customers that may have been previously overcharged due to the pricing issues in order to provide those customers with refunds of overcharges.

In August 2023, a former Omnicell employee came forward with allegations of fraudulent product overcharging. This individual, known as a "Relator," filed a *qui tam* complaint under seal in the U.S. District Court (EDWA). When a relator files a *qui tam* complaint, the False Claims Act requires the United States to investigate the allegations and elect whether to intervene and take over the action or to decline to intervene and allow the relator to go forward with the litigation on behalf of the United States. The

relator is generally able to then share in any recovery. As part of the settlement agreement, the relator will receive \$785,998.80 of the settlement amount. \$2,183,330 of the settlement amount has been designated as restitution, meaning that it will be returned to the VA.

“Veterans who served our country deserve the best health care possible. It is important that companies who do business with the VA and the federal government are accurate in how they charge for goods and services,” stated Acting United States Attorney Barker. “I am grateful that Omnicell quickly accepted responsibility and has taken steps to comply with its billing obligations going forward.”

“This settlement sends a clear message that the VA OIG will actively investigate allegations involving contractors overbilling for products provided to VA,” said Special Agent in Charge Dimitriana Nikolov with the Department of Veterans Affairs Office of Inspector General's Northwest Field Office. “The VA OIG will continue to work with the US Attorney’s Office to ensure the integrity of VA programs and services.”

The settlement was the result of an investigation jointly conducted by the United States Attorney’s Office (USAO) and the VA Office of Inspector General. The USAO’s investigation and prosecution was handled by Assistant United States Attorney Jacob E. Brooks.

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